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Judgment Sheet
LAHORE HIGH COURT, LAHORE
JUDICIAL DEPARTMENT

C.R No.80479/2022

Chaudhary Muhammad Younas
Versus
Abdullah Muhammad Abdul Aziz Al-Romaizan

J U D G M E N T

Date of Hearing	29.04.2026
Petitioner by:	Mr. Saqib Haroon Chishti, Advocate
Respondent by:	Mr. Waleed Khalid, Advocate

Anwaar Hussain J: This civil revision is directed against order dated 27.10.2022, whereby conditional leave to defend granted to the petitioner, in the suit for recovery instituted by the respondent was recalled, and his application for leave to appear and defend the suit under Order XXXVII, Rules 1 and 2 of the Code of Civil Procedure, 1908 (“CPC”) was dismissed.

2. This civil revision remained pending before this Court without any admitting note for considerable time and when it was taken up on 03.03.2026, the petitioner side was directed to ascertain status of the trial. The case was re-listed for 09.03.2026, when learned counsel for the petitioner contended that the suit instituted by the respondent has been dismissed due to non-prosecution, *vide* order dated 23.10.2025 and, therefore, he does not press this petition and reserves the right to resurrect the same in case the suit of the respondent is restored/revived. However, it was noted that the petitioner side was not aware about the status of the trial, inasmuch as an independent report was solicited by this Court from the Office, which depicted that respondent’s suit had been restored and was fixed for *ex-parte* evidence. This petition was re-listed for 11.03.2026, when notice was issued to the respondent subject to deposit of Rs.200,000/- as costs, with Deputy Registrar (Judicial) of this Court. Order dated 11.03.2026 was not complied with and cost was not deposited *albeit* on

14.04.2026, latter tendered appearance on behalf of the respondent and stated that he is willing to argue the matter but on the said date the principal counsel for the petitioner was not available, hence, the matter was re-listed for today for final arguments.

3. Factual background of the case is that a suit under Order XXXVII, Rules 1 and 2, CPC was instituted on 04.08.2010 in which the petitioner appeared on 25.10.2010 and submitted application for leave to defend on 27.10.2010, which was allowed, *vide* order dated 23.09.2014, subject to furnishing surety equivalent to the amount of recovery i.e., US \$ 19,317,801/- within a period of three weeks, which order was challenged by the petitioner through C.R No.3252/2014. The order dated 23.09.2014 was suspended by this Court, *vide* order dated 24.10.2014. The matter remained pending before this Court for six years and finally with the consent of the parties, C.R No.3252/2014 was disposed of, *vide* order dated 04.06.2020 and the petitioner was directed to comply with order dated 23.09.2014 within a period of two weeks. Thereafter, the petitioner submitted surety of four persons, genuineness whereof was challenged by the respondent. The Trial Court proceeded to issue notice to the relevant authorities/regulators, *inter alia*, Sub-Registrar concerned and it was found that the sale deeds submitted by the purported sureties were bogus. An application was filed for summoning one of the sureties, namely, Muhammad Qasim but instead of complying with the said order of the Trial Court dated 29.05.2021, the petitioner, on 12.06.2021, submitted an application for change of surety which application was contested by the respondent, however, the same was allowed, *vide* order dated 27.09.2022, subject to furnishing fresh surety equivalent to the amount of recovery i.e., US \$ 19,317,801/-, within a period of two weeks but since the needful was not done, after giving warning to the petitioner, the impugned order was passed.

4. Learned counsel for the petitioner submits that the suit for recovery to the tune of US \$ 19,317,801/- was instituted on the basis

of negotiable instrument and therefore, arranging the surety for such huge amount took considerable time. He further submits that for a significant period, the COVID situation prevailed, and at one stage the Trial Court itself was undertaking verification of the sureties furnished by the petitioner, therefore, the petitioner be given one more chance to submit surety.

5. Conversely, learned counsel for the respondent submits that the conduct of the petitioner clearly reflects lack of *bona fides*, inasmuch as a summary suit was instituted on 04.08.2010, yet till the year 2022 no meaningful effort was made by the petitioner to furnish the requisite sureties and when sureties were submitted, the same were found bogus, which fact is indicative of a deliberate and negligent approach on the part of the petitioner.

6. Arguments heard. Record perused.

7. The contentions advanced on behalf of the respondent are well-founded. The respondent is a foreign national—a Saudi citizen, who claims that a partnership was entered into with the petitioner, pursuant where-to promissory notes were executed, forming the basis of his claim under Order XXXVII, Rules 1 and 2, CPC. The suit was instituted in August, 2010 and the petitioner filed an application for leave to defend in October, 2010. It is, however, noteworthy that the Trial Court took considerable time in deciding the said application for leave to defend, which ultimately culminated in order dated 23.09.2014 directing the petitioner to furnish surety. Instead of complying, the petitioner challenged the said order through a civil revision bearing C.R No.3252/2014 that remained pending before this Court for a substantial period and ultimately being disposed of through a consent order dated 04.06.2020, whereby the petitioner was granted two weeks' time to comply with the direction of the Trial Court dated 23.09.2014 for submission of sureties. Although the petitioner did submit sureties within the stipulated period, the same were found, upon verification, to be forged. This conduct, in itself, is

sufficient to cast serious doubt upon the *bona fides* of the petitioner. There was no justification for submitting bogus sureties before the Court. Be that as it may, the petitioner moved an application seeking permission to substitute the sureties, which application, though contested by the respondent, was allowed on 27.09.2022 and in the interest of justice, further time was granted to the petitioner, including a final opportunity, *vide* order dated 11.10.2022, with a clear stipulation that in case of non-compliance within one week *qua* submission of surety(ies), the order granting leave to defend would stand recalled. Despite repeated indulgence and clear directions, the petitioner failed to comply. The plea now sought to be raised regarding the COVID-19 pandemic does not come to the rescue of the petitioner, particularly when the period of lockdown was limited and the Courts continued to function even during the pandemic. Likewise, the contention regarding involvement of a huge amount does not justify the persistent non-compliance, especially in the backdrop of submission of forged sureties.

8. It is necessary to observe that in proceedings under Order XXXVII, CPC, where conditional leave to defend is granted, strict compliance with the imposed conditions is the very foundation upon which such indulgence rests. Any attempt to circumvent or defeat such conditions—particularly through submission of forged or fictitious sureties—strikes at the sanctity of judicial process and cannot be countenanced. Such conduct is not merely procedural non-compliance but reflects a deliberate attempt to mislead the Court and delay the course of justice. In such circumstances, the Court is well within its jurisdiction to recall the concession of leave to defend and to proceed to pass decree in accordance with law. Furthermore, such conduct may expose the defaulting party and any accomplices to appropriate proceedings under the relevant penal laws as well as to imposition of compensatory costs. The judicial process cannot be

permitted to be reduced to a tool for abuse, and any such attempt deserves to be deprecated in the strongest terms.

9. In present case, the conduct of the petitioner, viewed cumulatively, reflects a lack of *bona fides* and a deliberate attempt to delay the proceedings. In a summary suit, where expeditious disposal is the very object, such conduct cannot be countenanced. The concession of leave to defend cannot be extended to a litigant who has failed to comply with the conditions attached thereto and has abused the process of the Court.

10. In view of the above discussion, no case for indulgence is made out. The impugned order does not suffer from any illegality or jurisdictional defect warranting interference by this Court. Accordingly, the same is maintained and the petition is **dismissed**.

(ANWAAR HUSSAIN)
JUDGE

Approved for reporting

Judge